

SECURITIES AND EXCHANGE BOARD OF INDIA (SUBSTANTIAL ACQUISITION OF SHARE

CHAPTER I: DEFINITIONS AND OBJECTIVES

The SEBI SAST Regulations govern the substantial acquisition of shares, voting rights, and control over target listed companies in India.

Acquirer means any person who, directly or indirectly, acquires or agrees to acquire shares or voting rights in the target company, or acquires or agrees to acquire control over the target company, either by himself or through persons acting in concert (PAC).

CHAPTER II: OPEN OFFER TRIGGERS

Regulation 3: Substantial acquisition of shares or voting rights.

(1) No acquirer shall acquire shares or voting rights in a target company which taken together with shares or voting rights, if any, held by him and by persons acting in concert with him in such target company, entitle them to exercise twenty-five per cent (25%) or more of the voting rights in such target company unless the acquirer makes a public announcement of an open offer.

(2) Regulation 3(2): Creeping Acquisition Limit.

No acquirer who holds twenty-five per cent (25%) or more but less than maximum permissible non-public shareholding (75%) shall acquire additional shares or voting rights entitling him to exercise more than five per cent (5%) of the voting rights in any financial year, unless the acquirer makes a public announcement of an open offer.

CHAPTER II: ACQUISITION OF CONTROL AND OFFER SIZE

Regulation 4: Acquisition of control.

Irrespective of acquisition or holding of shares or voting rights in a target company, no acquirer shall acquire, directly or indirectly, control over such target company unless the acquirer makes a public announcement of an open offer for acquiring shares.

Regulation 7: Offer Size.

(1) The open offer for acquiring shares to be made by the acquirer and persons acting in concert under regulation 3 and regulation 4 shall be for at least twenty-six per cent (26%) of the total voting share capital of the target company, calculated as of the tenth working day from the closure of the tendering period.

CHAPTER III: ESCROW ACCOUNT AND PRICING

Regulation 17: Escrow account.

(1) Not later than two working days prior to the date of the detailed public statement of the open offer, the acquirer shall create an escrow account toward security for performance of obligations.

(2) The escrow account shall be funded for an amount equal to 25% of the first 500 crore rupees of consideration payable under the open offer, and 10% thereafter.